

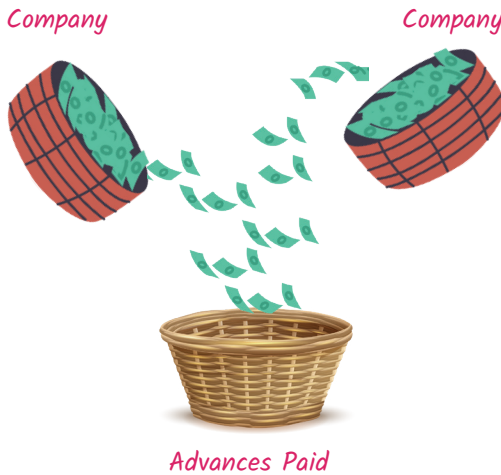
3.8

Reverse Float

Previously we discussed float. This is the capital a company receives from an external source and uses to earn profit. In this unit, we will learn about Reverse Float.

Reverse Float

Reverse float is when a business extends a float towards other businesses or companies. This is where the business is offering capital to another business without any return on the same. It includes things like Accounts Receivable, Advances Paid, Prepaid expenses and so on.



1

Capital is offered at no cost.

2

The receiver can keep the benefits earned from using the capital.

3

Reverse float acts as Float for the party that receives these advances.